

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$262.59 ▼ 0.26%

12M Price Target
\$310.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$235.99B

MRVL: AI Custom Silicon Story Still Has Legs

WHAT HAPPENED

- Quiet tape — MRVL basically flat at \$262.59 after a big up-day Monday. No filings, no shocker news. What matters: the stock is sitting at 74% of its 52-week range (\$70 to \$330), meaning it's clawed back most of the AI-panic damage from earlier this year and is consolidating near highs.
- Options flow is loudly bullish — put/call ratio of 0.62 (way more calls than puts, meaning traders are betting UP), and unusual call buying at the \$270 strike for October expiry. Somebody with size thinks this pushes higher into earnings season.

WHY IT MATTERS

The setup here is classic "coiled spring before a catalyst" — flat price, bullish options, no insider selling, institutions holding 82%. That combination usually means smart money is positioned and waiting. The bigger picture: MRVL is one of only two credible custom-AI-chip designers for hyperscalers (Broadcom is the other), and every earnings cycle from Amazon, Microsoft, Meta, and Google keeps confirming that AI capex isn't slowing — it's accelerating into 2027. The Motley Fool "Broadcom vs. Marvell" chatter tells you the market is actively debating which one to own, which is a good sign for MRVL because being in the conversation with a \$1.5T company means the re-rating higher isn't done yet.

POLICY & POLITICAL WATCH

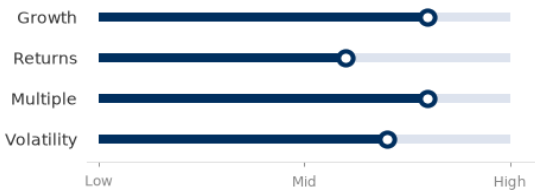
The CHIPS Act money is still flowing and the Trump administration's push for domestic semiconductor manufacturing directly benefits Marvell — they design chips in the US and increasingly fab through TSMC's Arizona plants, which qualifies them for federal subsidies and preferential government contracts. Watch the ongoing US-China export control expansion: any new restrictions on AI chip exports to China hurt Nvidia and AMD more than MRVL (Marvell's China exposure is smaller and more networking-focused), which is actually a relative tailwind. The wildcard is the federal AI procurement executive order framework being finalized — if the government mandates "made-in-America" AI silicon for defense and intelligence workloads, MRVL's custom ASIC business gets a whole new customer with a bottomless budget.

IS IT EXPENSIVE?

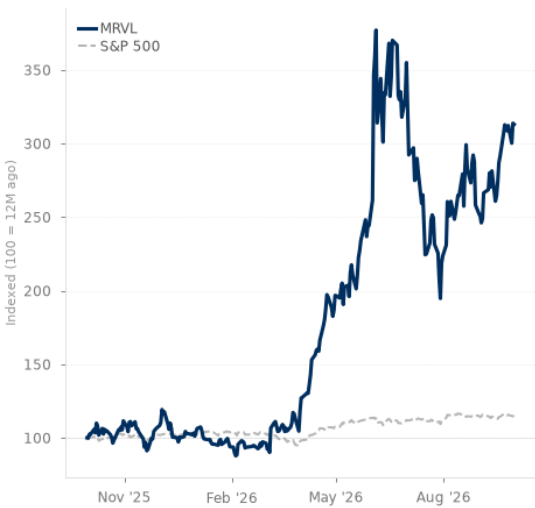
Key Data

Price (USD)	\$262.59
12M Price Target	\$310.00
Upside / (Downside)	+18.1%
Market Cap	\$235.99B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$11,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.20
Fwd P/E	92.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$270.00	\$240.00
6 Months	\$330.00	\$290.00	\$220.00
1 Year	\$380.00	\$310.00	\$200.00
2 Years	\$480.00	\$370.00	\$180.00
5 Years	\$700.00	\$500.00	\$220.00
10 Years	\$1200.00	\$750.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.99% today) and Energy (+0.91%) — tech is being led by AI infrastructure names, and energy is quietly benefiting from the "AI needs power" narrative plus tighter oil supply talk. The through-line is federal spending on infrastructure and re-industrialization.

COOLING OFF: Materials (-2.36% over 5 days) and Consumer Discretionary (-1.30%) — classic signal that investors are worried about consumer strength and cyclical demand, rotating into secular growth stories like AI.

ROTATION WATCH: Money is clearly moving from cyclicals into AI/tech and select energy names. That's a direct tailwind for MRVL — when the tech tape is bid and AI is the theme, MRVL gets flows almost mechanically.

RELATED PLAY: If you like MRVL's setup, look at the picks-and-shovels layer — Rambus (memory interface IP, mentioned in today's news) and Credo Technology (AI connectivity) are smaller, higher-beta ways to play the same custom silicon buildout.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The other custom AI silicon king — up huge YTD on Google TPU and Meta MTIA wins. Sets the valuation ceiling MRVL is being compared to.
- NVDA (Nvidia): Still the reference AI trade — every dollar Nvidia guides up is a rising tide for MRVL's networking silicon (they sell into Nvidia-based data centers too).

MRVL CONTEXT: Marvell is a mid-tier performer in this cohort — up massively from the \$70 lows but lagging Broadcom's dominance. That's actually the bull case: it's the "catch-up trade" if you think custom silicon TAM is bigger than the market currently prices in.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$240-255 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Microsoft custom ASIC socket, or AI capex rollover

Hedging: Pair with short on richer-multiple AI names or buy protective puts